

# SPX SPINOFF TRADING STRATEGY

## Systematic Backtest Report

Generated: March 07, 2026

### STRATEGY SUMMARY

- Universe: S&P 500 spinoff stocks (parent was SPX member at spinoff date)
- Entry Rule: Buy 30 calendar days after spinoff listing  
(allows index funds & forced sellers to finish dumping shares)
- Exit Rule: Sell after 365 calendar days (~1 year) from entry
- Sizing: Equal weight per trade
- Benchmark: SPY (S&P 500 ETF, total return)
- Data: Yahoo Finance adjusted closes

### KEY RESULTS

|                |                |                        |              |               |                            |
|----------------|----------------|------------------------|--------------|---------------|----------------------------|
| Closed Trades: | <b>23</b>      |                        | Win Rate:    | <b>+73.9%</b> | (% trades positive)        |
| Beat SPY Rate: | <b>+47.8%</b>  | (% trades > benchmark) | Mean Return: | <b>+28.8%</b> | (per trade, ~1yr hold)     |
| Median Return: | <b>+17.0%</b>  |                        | Mean Alpha:  | <b>+12.4%</b> | (vs SPY same period)       |
| Info Ratio:    | <b>0.27</b>    | (alpha / std alpha)    | p-value:     | <b>0.215</b>  | (H <sub>0</sub> : alpha=0) |
| Best Trade:    | <b>+168.2%</b> |                        | Worst Trade: | <b>-41.6%</b> |                            |

### DISCLAIMER

This report is for educational and research purposes only. Past performance does not guarantee future results.  
Strategy returns are gross of transaction costs, slippage, and taxes. Live trading results will differ.  
Spinoff returns may be partially explained by survivorship bias in data availability.

Universe Construction — S&P 500 Historical Membership Verification

SURVIVORSHIP BIAS CONTROL

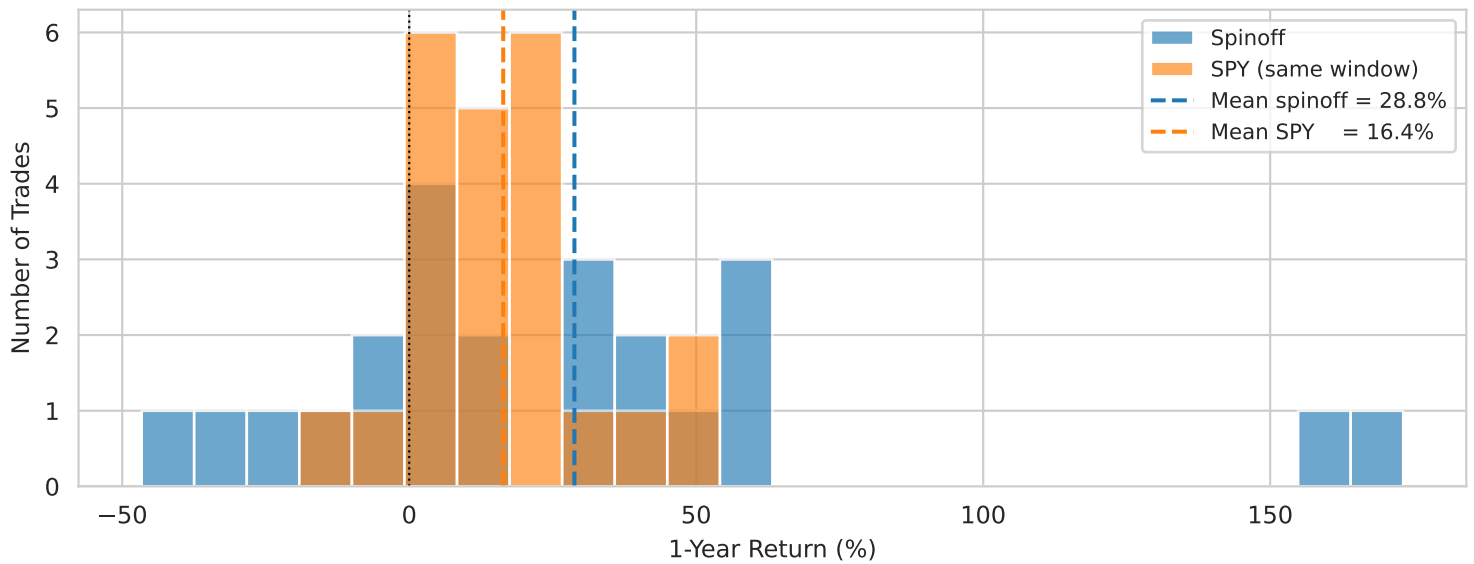
The filter 'parent must be S&P 500 member AT spinoff date' is enforced using HISTORICAL membership, not current index composition. Each parent's S&P 500 status at the spinoff date was manually verified against S&P Global press releases, SEC filings, and financial databases. Entries marked EXCLUDED are removed from ALL return calculations.

| Spinoff | Parent | Date       | Is S&P 500? | Status      | Verification Note (abbreviated)                                          |
|---------|--------|------------|-------------|-------------|--------------------------------------------------------------------------|
| MPC     | MRO    | 2011-07-01 | YES ✓       | In universe | MRO in S&P 500; Marathon Oil was long-standing large-cap constituent     |
| ADT     | TYC    | 2012-09-28 | YES ✓       | In universe | TYC in S&P 500; Tyco was in index until Pentair/ADT split                |
| ABBV    | ABT    | 2013-01-02 | YES ✓       | In universe | ABT in S&P 500; Abbott well-established constituent                      |
| ZTS     | PFE    | 2013-02-01 | YES ✓       | In universe | PFE in S&P 500; Pfizer is Dow Jones / S&P 500 blue chip                  |
| VOYA    | ING    | 2013-05-02 | NO ✗        | EXCLUDED    | ING Group is Dutch (Amsterdam HQ); NOT in S&P 500. S&P 500 requires US.. |
| MNK     | COV    | 2013-07-01 | YES ✓       | In universe | COV in S&P 500; Covidien plc was NYSE-listed large-cap (Irish-incorpor.. |
| SYF     | GE     | 2014-07-31 | YES ✓       | In universe | GE in S&P 500; General Electric was Dow Jones / S&P 500 blue chip        |
| PYPL    | EBAY   | 2015-07-20 | YES ✓       | In universe | EBAY in S&P 500 at spinoff date; eBay added ~2002                        |
| HPE     | HPQ    | 2015-11-02 | YES ✓       | In universe | HPQ in S&P 500; HP was Dow Jones / S&P 500 constituent                   |
| BXLT    | BAX    | 2015-07-01 | YES ✓       | In universe | BAX in S&P 500; Baxter was established large-cap constituent             |
| FTV     | DHR    | 2016-07-02 | YES ✓       | In universe | DHR in S&P 500; Danaher is established large-cap constituent             |
| AA      | ARNC   | 2016-11-01 | YES ✓       | In universe | Old Alcoa (AA) renamed to Arconic (ARNC) and remained in S&P 500 befor.. |
| CNDT    | XRX    | 2017-01-03 | YES ✓       | In universe | XRX in S&P 500 at spinoff date; Xerox remained in S&P 500 through at l.. |
| DXC     | HPE    | 2017-04-03 | YES ✓       | In universe | HPE added to S&P 500 when HP split Nov 2015; in index by Apr 2017        |
| NVT     | PNR    | 2018-05-01 | YES ✓       | In universe | PNR in S&P 500; Pentair plc (Irish-incorporated) was grandfathered S&P.. |
| DOW     | DWDP   | 2019-04-01 | YES ✓       | In universe | DWDP in S&P 500; DowDuPont replaced both Dow and DuPont in Dow Jones i.. |
| CTVA    | DWDP   | 2019-06-03 | YES ✓       | In universe | DWDP in S&P 500; same as above                                           |
| OTIS    | UTX    | 2020-04-03 | YES ✓       | In universe | UTX in S&P 500; United Technologies was Dow Jones / S&P 500 constiuen..  |
| CARR    | UTX    | 2020-04-03 | YES ✓       | In universe | UTX in S&P 500; same as above                                            |
| HWM     | ARNC   | 2020-04-01 | NO ✗        | EXCLUDED    | HWM is NOT a spinoff. HWM = old Arconic (ARNC) renamed to Howmet Aeros.. |
| ARNC    | HWM    | 2020-04-01 | YES ✓       | In universe | Old Arconic Inc. (pre-split ARNC ticker, S&P 500 member) spun off new... |
| VNT     | FTV    | 2020-10-09 | YES ✓       | In universe | FTV in S&P 500; Fortive added to S&P 500 at spinoff from Danaher 2016    |
| GXO     | XPO    | 2021-08-02 | NO ✗        | EXCLUDED    | XPO was S&P MidCap 400, NOT S&P 500. Confirmed: S&P Global press relea.. |
| KD      | IBM    | 2021-11-04 | YES ✓       | In universe | IBM in S&P 500; IBM is Dow Jones / S&P 500 blue chip                     |
| CEG     | EXC    | 2022-01-03 | YES ✓       | In universe | EXC in S&P 500: Exelon was established large-cap utility constituent     |
| RXO     | XPO    | 2022-11-01 | NO ✗        | EXCLUDED    | XPO was S&P MidCap 400, NOT S&P 500. Confirmed: S&P Global press relea.. |
| GEHC    | GE     | 2023-01-04 | YES ✓       | In universe | GE in S&P 500; GE was in index (removed from Dow 2018 but not S&P 500)   |
| KVUE    | JNJ    | 2023-05-04 | YES ✓       | In universe | JNJ in S&P 500; J&J is Dow Jones / S&P 500 blue chip                     |
| VLTO    | DHR    | 2023-09-14 | YES ✓       | In universe | DHR in S&P 500; Danaher is established S&P 500 constituent               |
| SOLV    | MMM    | 2024-04-01 | YES ✓       | In universe | MMM in S&P 500; 3M is Dow Jones / S&P 500 blue chip                      |
| GEV     | GE     | 2024-04-02 | YES ✓       | In universe | GE in S&P 500; same as GEHC note above                                   |
| SNDK    | WDC    | 2025-02-24 | YES ✓       | In universe | WDC in S&P 500; Western Digital was established large-cap constituent... |
| SOLS    | HON    | 2025-10-30 | YES ✓       | In universe | HON in S&P 500; Honeywell is Dow Jones / S&P 500 blue chip. SOLS joine.. |
| Q       | EMN    | 2025-10-31 | YES ✓       | In universe | EMN in S&P 500 at spinoff date; EMN was replaced by Q in S&P 500 effec.. |

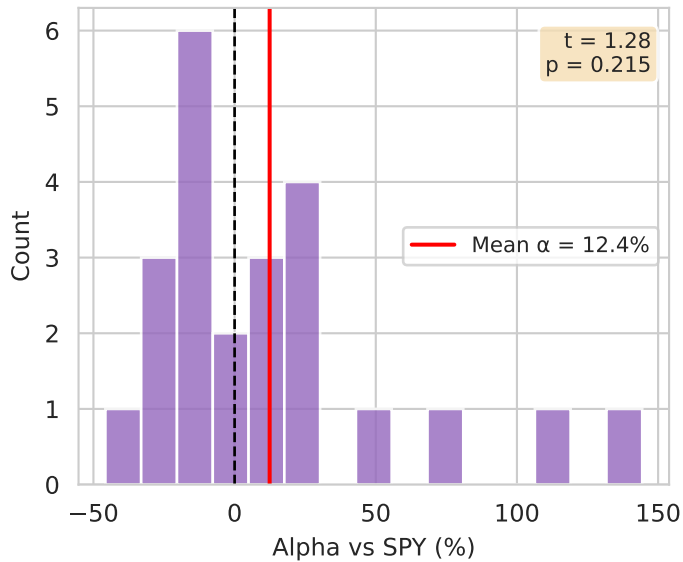
SUMMARY: 30 spinoffs in universe (parent verified as S&P 500 member at spinoff date) | 4 excluded (parent not in S&P 500) | No automated live S&P 500 constituent check — historical verification is manual + sourced.

# Return Analysis

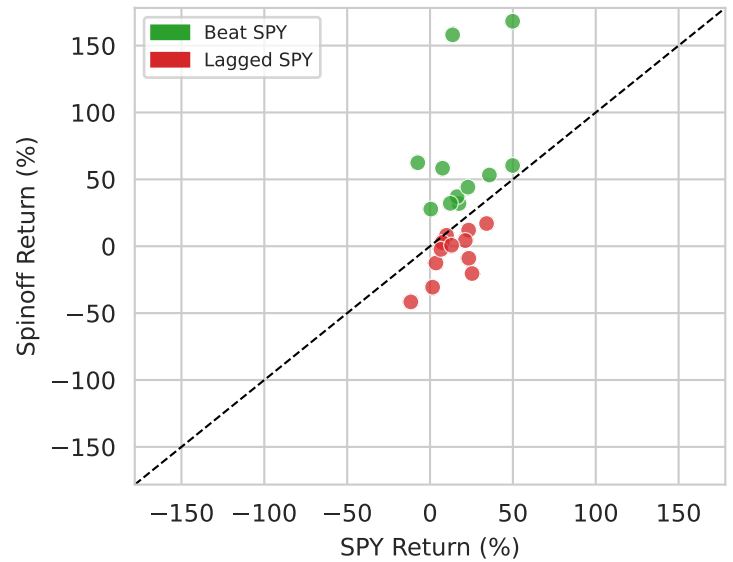
(a) Distribution of 1-Year Returns: Spinoff vs SPY



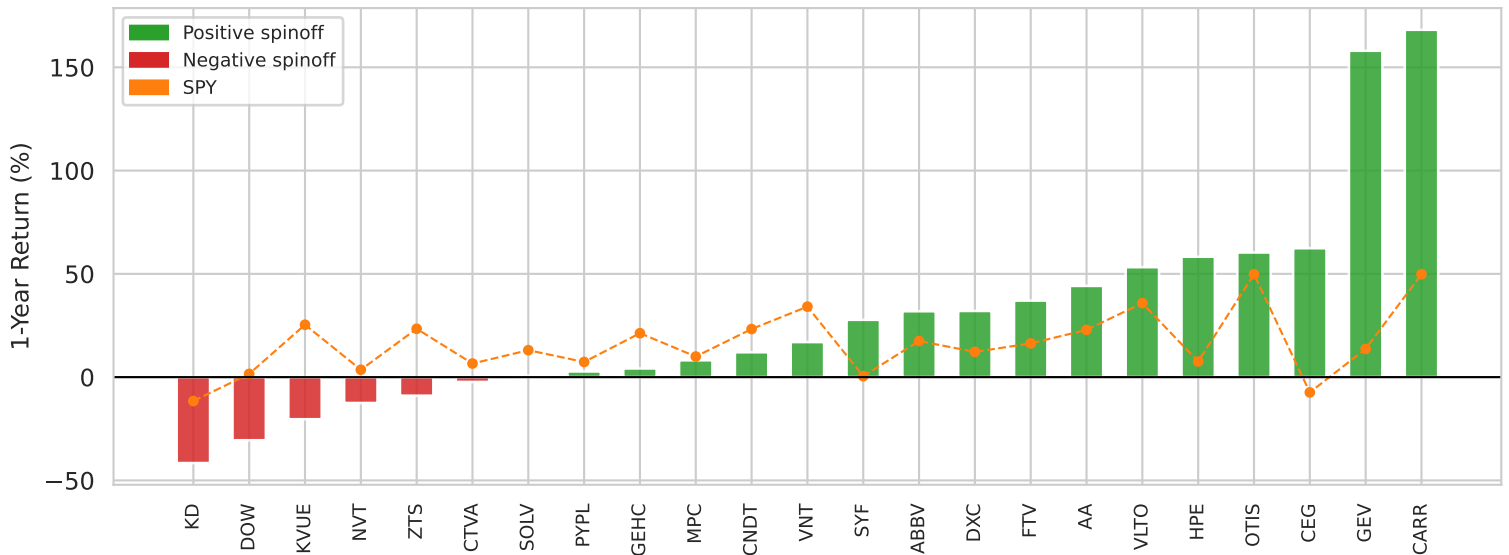
(b) Alpha Distribution



(c) Spinoff Return vs SPY (same window)

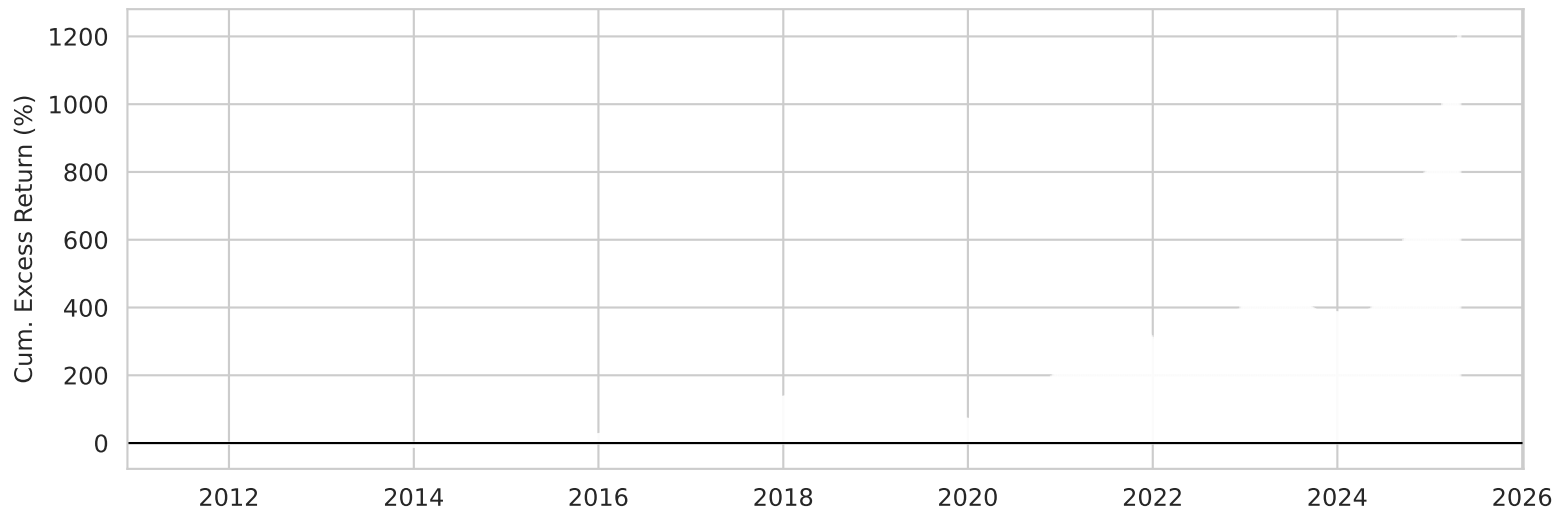
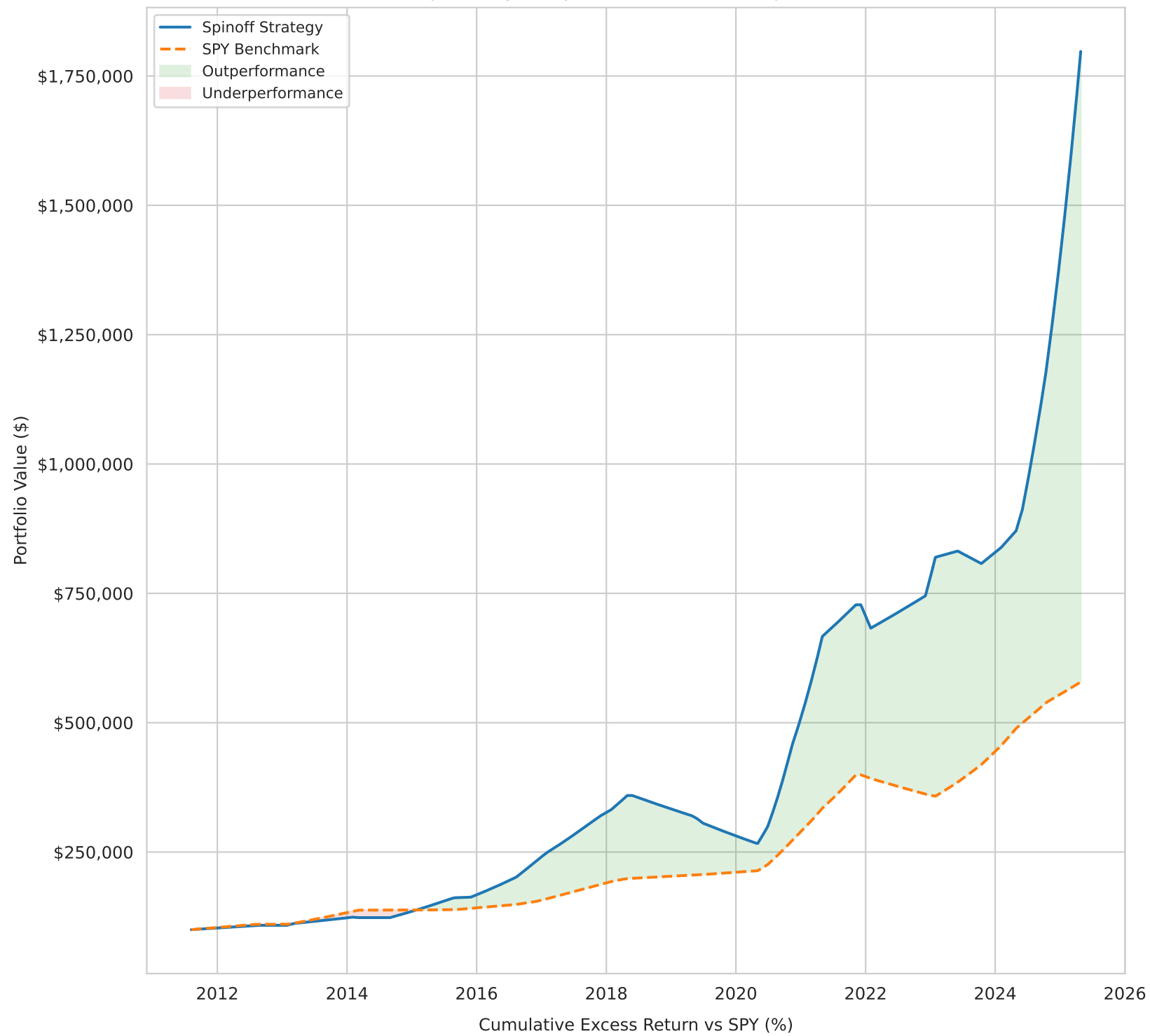


(d) Individual Trade Returns (sorted by spinoff return)



# Portfolio Equity Curve

Cumulative Portfolio Value — \$100,000 Starting Capital  
(Equal-weight, 1-year hold, rebalanced per trade)

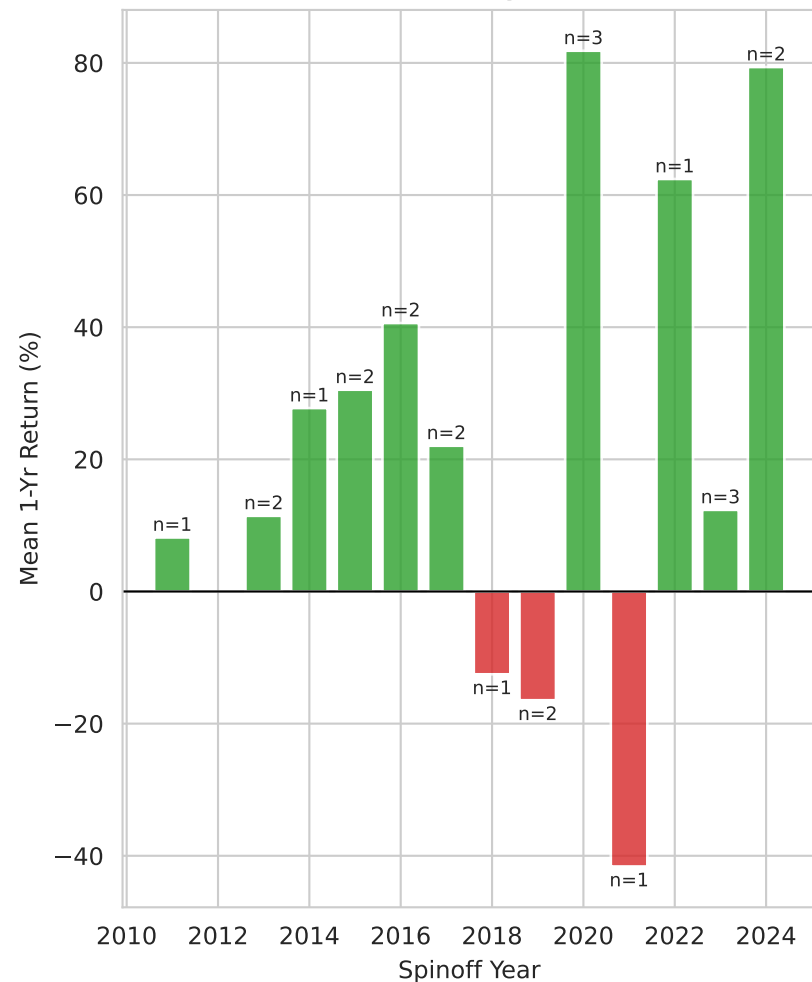


# Complete Trade Log

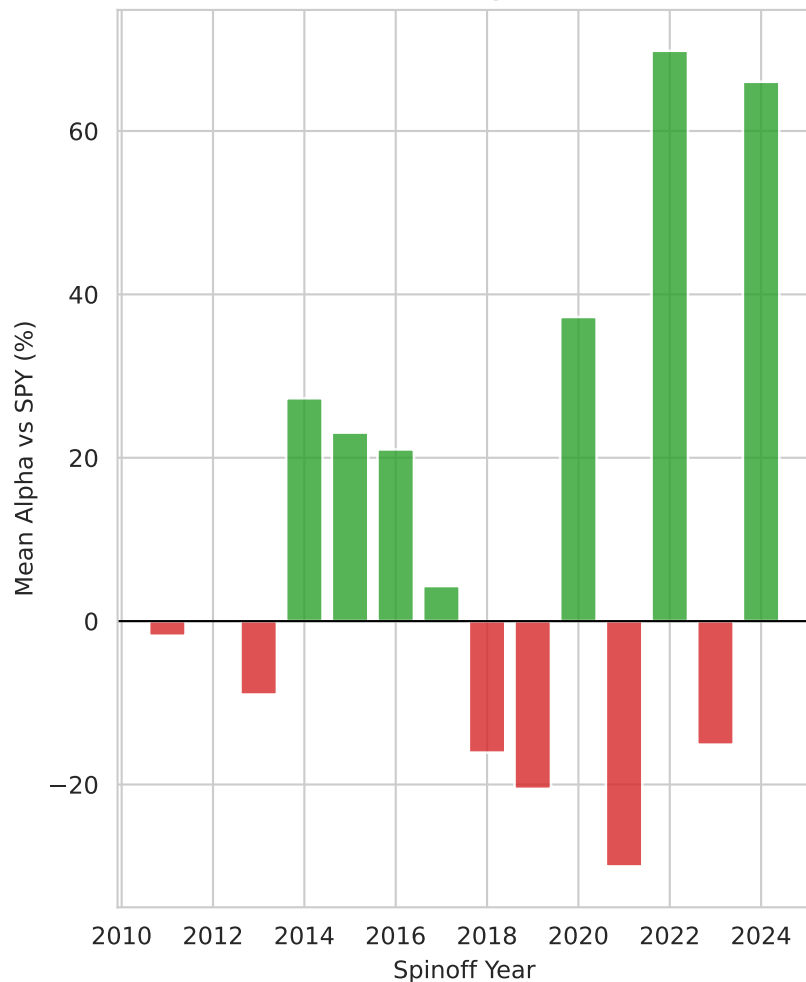
| Ticker | Spinoff    | Entry      | Exit       | Ret     | SPY    | Alpha   | Status |
|--------|------------|------------|------------|---------|--------|---------|--------|
| MPC    | 2011-07-01 | 2011-08-01 | 2012-07-30 | +8.2%   | +10.0% | -1.8%   | CLOSED |
| ADT    | 2012-09-28 | —          | —          | —       | —      | —       | NO_DAT |
| ABBV   | 2013-01-02 | 2013-02-01 | 2014-02-03 | +31.9%  | +17.5% | +14.4%  | CLOSED |
| ZTS    | 2013-02-01 | 2013-03-04 | 2014-03-03 | -9.0%   | +23.4% | -32.4%  | CLOSED |
| MNK    | 2013-07-01 | —          | —          | —       | —      | —       | NO_DAT |
| SYF    | 2014-07-31 | 2014-09-02 | 2015-08-31 | +27.8%  | +0.5%  | +27.3%  | CLOSED |
| BXLT   | 2015-07-01 | —          | —          | —       | —      | —       | NO_DAT |
| PYPL   | 2015-07-20 | 2015-08-19 | 2016-08-18 | +2.8%   | +7.3%  | -4.6%   | CLOSED |
| HPE    | 2015-11-02 | 2015-12-02 | 2016-12-01 | +58.3%  | +7.6%  | +50.7%  | CLOSED |
| FTV    | 2016-07-02 | 2016-08-01 | 2017-08-01 | +37.1%  | +16.3% | +20.8%  | CLOSED |
| AA     | 2016-11-01 | 2016-12-01 | 2017-12-01 | +44.2%  | +22.9% | +21.3%  | CLOSED |
| CNDT   | 2017-01-03 | 2017-02-02 | 2018-02-02 | +12.1%  | +23.3% | -11.2%  | CLOSED |
| DXC    | 2017-04-03 | 2017-05-03 | 2018-05-03 | +32.1%  | +12.2% | +19.8%  | CLOSED |
| NVT    | 2018-05-01 | 2018-05-31 | 2019-05-31 | -12.5%  | +3.6%  | -16.1%  | CLOSED |
| DOW    | 2019-04-01 | 2019-05-01 | 2020-04-30 | -30.6%  | +1.6%  | -32.2%  | CLOSED |
| CTVA   | 2019-06-03 | 2019-07-03 | 2020-07-02 | -2.3%   | +6.6%  | -8.9%   | CLOSED |
| ARNC   | 2020-04-01 | —          | —          | —       | —      | —       | NO_DAT |
| OTIS   | 2020-04-03 | 2020-05-04 | 2021-05-03 | +60.4%  | +49.8% | +10.5%  | CLOSED |
| CARR   | 2020-04-03 | 2020-05-04 | 2021-05-03 | +168.2% | +49.8% | +118.3% | CLOSED |
| VNT    | 2020-10-09 | 2020-11-09 | 2021-11-08 | +17.0%  | +34.1% | -17.1%  | CLOSED |
| KD     | 2021-11-04 | 2021-12-06 | 2022-12-05 | -41.6%  | -11.6% | -30.0%  | CLOSED |
| CEG    | 2022-01-03 | 2022-02-02 | 2023-02-02 | +62.4%  | -7.4%  | +69.8%  | CLOSED |
| GEHC   | 2023-01-04 | 2023-02-03 | 2024-02-05 | +4.2%   | +21.3% | -17.0%  | CLOSED |
| KVUE   | 2023-05-04 | 2023-06-05 | 2024-06-03 | -20.4%  | +25.4% | -45.8%  | CLOSED |
| VLTO   | 2023-09-14 | 2023-10-16 | 2024-10-14 | +53.2%  | +35.8% | +17.4%  | CLOSED |
| SOLV   | 2024-04-01 | 2024-05-01 | 2025-05-01 | +0.7%   | +13.0% | -12.3%  | CLOSED |
| GEV    | 2024-04-02 | 2024-05-02 | 2025-05-02 | +158.0% | +13.7% | +144.4% | CLOSED |
| SNDK   | 2025-02-24 | 2025-03-26 | 2026-03-06 | +902.1% | +19.3% | +882.9% | OPEN   |
| SOLS   | 2025-10-30 | 2025-12-01 | 2026-03-06 | +51.4%  | -0.9%  | +52.2%  | OPEN   |
| Q      | 2025-10-31 | 2025-12-01 | 2026-03-06 | +42.0%  | -0.9%  | +42.9%  | OPEN   |

# Deep-Dive Analysis

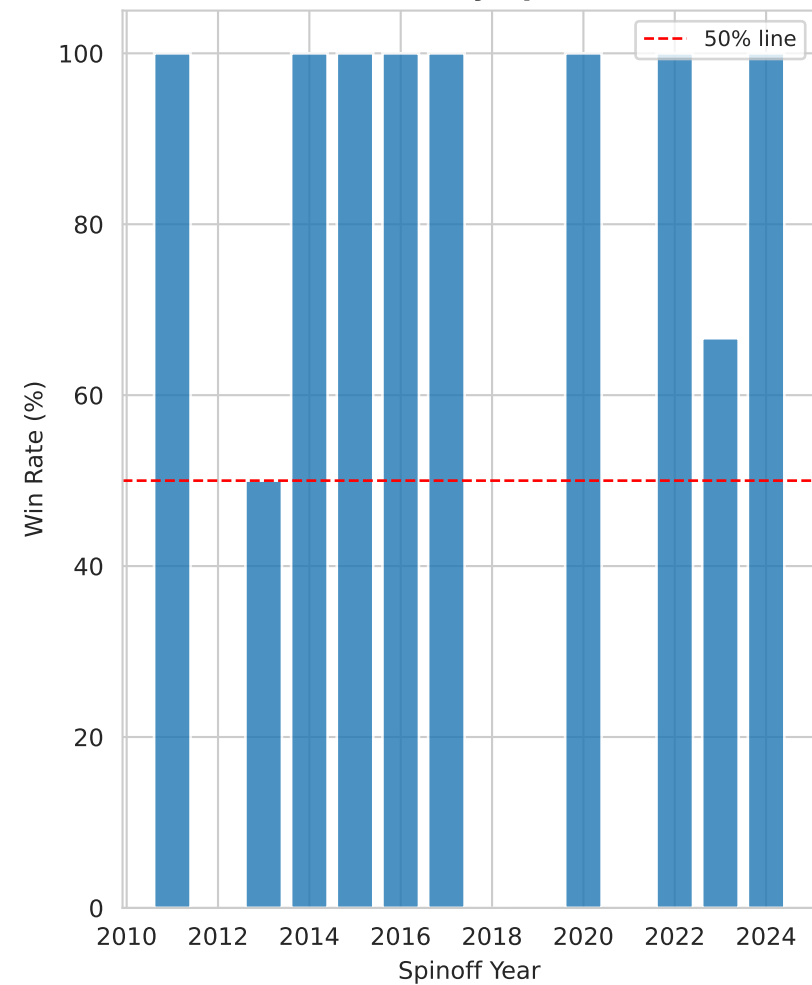
(a) Mean Return by Spinoff Year



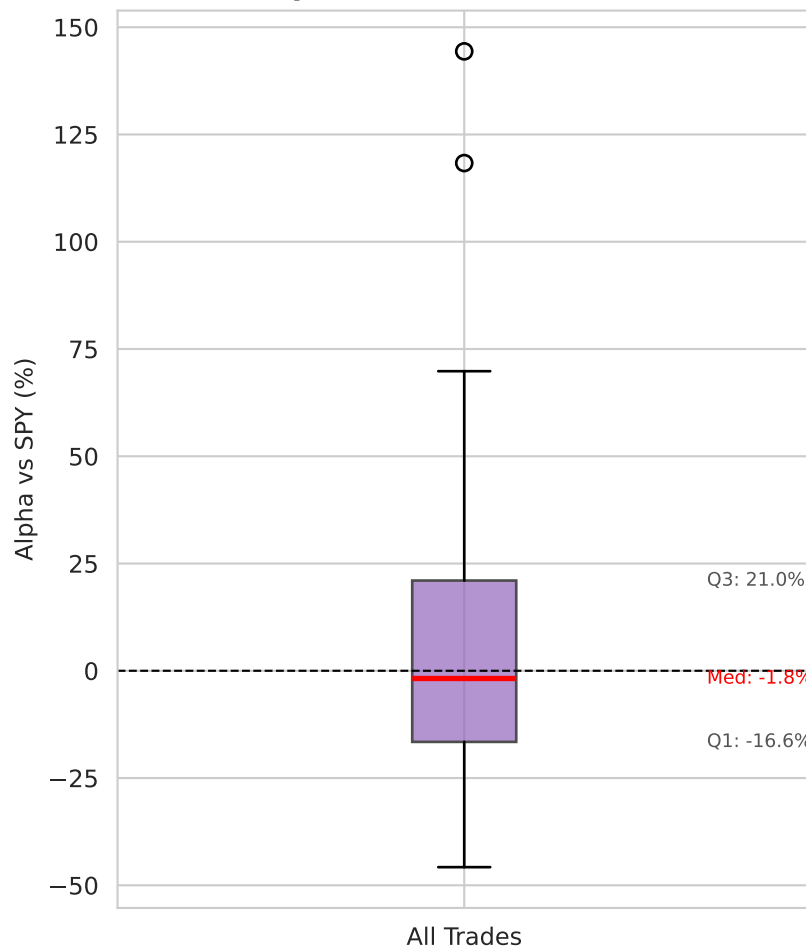
(b) Mean Alpha by Spinoff Year



(c) Win Rate by Spinoff Year



(d) Alpha Distribution (Box Plot)



# Strategy Rationale & Methodology

## WHY SPINOFFS OUTPERFORM

1. **FORCED SELLING** — When a company spins off a subsidiary, shareholders of the parent receive shares in the new entity whether they want them or not. Index funds must sell if the spinoff is too small for their mandate. This indiscriminate selling creates artificially depressed prices unrelated to business fundamentals.
2. **ANALYST NEGLECT** — Spinoffs receive little sell-side coverage initially. As analysts initiate coverage over the following 12–18 months, institutional interest builds, and the stock re-rates to fair value.
3. **MANAGEMENT ALIGNMENT** — Spinoff management teams typically receive fresh equity compensation tied to the standalone stock. This creates strong incentives to improve operations, execute buybacks, and communicate clearly with investors.
4. **FOCUSED STRATEGY** — No longer constrained by a conglomerate parent, spinoffs can pursue focused strategies, divest non-core assets, and optimize capital allocation.

## ACADEMIC EVIDENCE

- Desai & Jain (1999): Spinoffs outperform market by  $\sim +25\%$  over 3 years post-separation.
- McConnell & Ovtchinnikov (2004): Spinoffs earn  $+20\%$  alpha in year 1, fading by year 3.
- Chemmanur & Yan (2004): Spinoff effect strongest for firms with high information asymmetry.
- Miles & Rosenfeld (1983): Announcement returns  $+3.5\%$  for parent, spinoff undervalued.
- Greenblatt (1997): The '30-day rule' — wait for forced sellers to finish before buying.

## STRATEGY RULES (COMPLETE)

**ENTRY:** Buy the spinoff stock 30 calendar days after its first day of trading.

This lag ensures the bulk of forced/index selling is complete.

**EXIT:** Sell exactly 365 calendar days ( $\approx 1$  year) after entry.

Academic research shows alpha peaks around 12–18 months; we capture year 1.

For positions  $< 1$  year old, we use the latest available price (open trade).

**FILTER:** Parent company must have been an S&P 500 constituent at spinoff date.

The spinoff itself need not be in the S&P 500 (e.g. SNDK went to SmallCap 600).

Example: Mallinckrodt (MNK) is INCLUDED because parent Covidien (COV) was SPX.

**SIZE:** Equal dollar weight per trade. No leverage.

**BENCH:** Total return SPY over the identical entry-to-exit window.

## RISKS & LIMITATIONS

- Spinoffs can fail — some trade to zero (e.g., Mallinckrodt/MNK bankrupt 2020, GXO -48%).
- Survivorship bias: companies with no tradeable data excluded (e.g., ADT 2012, Baxalta).
- Transaction costs not modelled — spinoffs often have wide bid-ask spreads initially.
- Sample size is small ( $\sim 20$  completed trades); statistical significance is limited.
- Strategy works best in bull markets; alpha shrinks in bear markets.